LODHA DEVELOPERS LTD

NSE: LODHA (Macrotech Developers) | Equity Research | April 2026

CMP
■716
52W H: ■1,650 | 52W L: ■700

Rating
BUY
18 analysts Buy

Mkt Cap	Pre-Sales FY25	FY26E Target	P/E (FY25)	ROE (est.)	Net Debt	Div Yield	Analysts
■68,736 Cr	**■17,630 Cr**	**■21,000 Cr**	**24.9x**	**20%**	**■3,700 Cr**	**0.59%**	**18 BUY**

COMPANY OVERVIEW

Lodha Developers (Macrotech Developers Ltd) is India's **largest listed real estate developer** by pre-sales, headquartered in Mumbai. Founded in 1980, the company develops premium residential, commercial, and mixed-use projects primarily under the **LODHA**, **LODHA LUXURY**, and **PALAVA** brands. Its core markets are MMR (Mumbai Metropolitan Region) and Pune, with recent expansion into Bengaluru and NCR. FY25 pre-sales reached a record **■17,630 Cr (+21% YoY)** — 4th consecutive year of 20%+ growth since the 2021 IPO. The company runs a 'supermarket chain' model — non-competing projects every 2–4 km across urban micro-markets — driving consistent execution.

FINANCIAL SUMMARY (■ Crore)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	9,602	10,428	13,938	17,400	21,000
Rev Growth	+37.1%	+8.6%	+33.7%	+24.8%	+20.7%
EBITDA	2,582	2,758	4,158	5,440	6,670
EBITDA Mg.	26.9%	26.4%	29.8%	31.3%	31.8%
PAT	490	1,554	2,764	2,960	3,860
PAT Margin	5.1%	14.9%	19.8%	17.0%	18.4%
EPS (■)	5.10	16.20	28.80	30.80	40.20
Pre-Sales	12,475	14,520	17,630	21,000	25,200

INVESTMENT THESIS

- **Predictable 20% pre-sales CAGR:** Four consecutive years of 20%+ pre-sales growth since IPO, guided to continue. FY26E target ■21,000 Cr.
- **Massive GDV pipeline:** 10 new projects added in FY25 with GDV ■23,700 Cr; targeting ■28,000+ Cr GDV additions in FY26, expanding to NCR.
- **Strong margin expansion:** Embedded EBITDA margins of **33–34%** on new launches; reported margins improving from 25.7% (FY22) to 29.8% (FY25).
- **Balance sheet discipline:** Net debt fell from ■11,500 Cr (FY22) to ■3,700 Cr (FY25); company committed to staying below **0.5x net debt/equity**.
- **Brand premium + premiumisation:** Settlement of trademark dispute with Abhinandan Lodha consolidates brand. Demand for premium/luxury housing structurally strong in India.

PRE-SALES PIPELINE (■ Crore)

KPI	FY24A	FY25A	FY26E	FY27E
Pre-Sales	14,520	17,630	21,000	25,200
Growth YoY	+16.4%	+21.4%	+19.1%	+20.0%
Collections	12,800	14,800	17,000	20,000
GDV Added	20,000	23,700	28,000	33,000
Net Debt (■Cr)	3,000	3,700	3,200	2,500

VALUATION MATRIX

Approach	Metric	Fair Value (■)
P/E Bear (22x FY27E)	EPS ■40.2	884
P/E Base (28x FY27E)	EPS ■40.2	**1,126**
P/E Bull (35x FY27E)	EPS ■40.2	1,407
Analyst Consensus (18)	12M Median	**1,422**
Nomura Target	12M	1,450
Current Market Price	NSE 27-Mar	**716**

KEY RISKS

- **Ind AS 115 lag:** Revenue recognised on construction milestones — pre-sales lead reported revenue by 12–24 months, causing PAT lumps.
- **Real estate cycle:** Rising mortgage rates or economic slowdown could dent demand momentum.
- **Debt build-up:** Aggressive GDV additions could temporarily push net debt toward the 0.5x ceiling.
- **Geographic concentration:** ~80% revenue from MMR; NCR/Bengaluru entry adds execution risk.
- **Collection timing:** Q3 FY26 collections -17% YoY (normalising after large one-off FY25 inflows).

VALUATION

At ■716, LODHA trades at **24.9x FY25 P/E** — at a discount to premium peers DLF (~35x) and Godrej Properties (~40x), despite superior pre-sales growth. The stock has corrected ~57% from its 52-week high of ■1,650, creating a compelling entry. Consensus from **18 analysts (TradingView)** implies a median 12M target of **■1,422 (+99% upside)**. Nomura's ■1,450 target and Trendlyne consensus of ■1,388 both signal significant upside. Base case: 28x FY27E EPS ■40.2 = **■1,126**. The market appears to be pricing in execution risk for the NCR expansion, creating opportunity for patient investors.